

S&P 500 vs Ibovespa: which delivered better real returns?

2019-2026 | Sources: FRED, B3, Banco Central do Brasil (PTAX), IBGE SIDRA

This project evaluates which market delivered stronger real returns for a Brazilian investor between 2019 and 2026, comparing the S&P 500 and the Ibovespa across distinct market phases.

All results are expressed in inflation-adjusted BRL terms, incorporating both market performance and currency effects, as well as investment frictions.

Business Context

Over the past market cycle, global equities delivered strong performance while Brazilian investors often reported weaker perceived outcomes. This raises a key question: did local market exposure materially underperform when measured in real terms?

This analysis aims to isolate the drivers of that divergence, focusing on timing of returns, currency dynamics, and structural constraints faced by investors.

Data and Methodology

All time series were aligned at a monthly frequency and rebased to a common starting point to enable direct comparison. Friction scenarios were applied after core calculations to evaluate whether results hold under realistic investment conditions.

The S&P 500 was converted to BRL using exchange rates, Ibovespa was represented using its total return index to ensure comparability. Returns were adjusted for inflation to reflect real purchasing power.

Data frequency: Daily data aggregated to monthly

Base period: Rebased to 100 (January 2019)

Inflation adjustment: Brazilian CPI (real returns)

Currency conversion: USD returns converted to BRL using USD/BRL

Indices used: S&P 500 (price and total return), Ibovespa (total return, IBDS)

Time segmentation: Pre, shock, recovery, and post-pandemic phases

Frictions modeled: Taxes, FX spreads, ETF costs (applied post-analysis)

Guiding questions

Question	Detail
1	Which investment delivered better real BRL returns for a Brazilian investor?
2	How much does the answer change when dividends included?
3	Was the difference driven by market returns or FX?
4	How did performance vary over time?
5	How do taxes, FX costs, and investment routes affect the relative outcome?

Key Findings

Findings	Headline	Detail
Finding 1	S&P 500 significantly outperformed	~180% vs ~40% cumulative real returns (BRL)
Finding 2	Divergence concentrated in recovery phase	Gap formed primarily during 2020–2022
Finding 3	Currency amplified returns	BRL depreciation boosted USD performance
Finding 4	Ibovespa outperformed post-2023	~51% vs ~24%, but insufficient to close gap
Finding 5	Result holds under real-world frictions	S&P remains ahead after tax, FX, and cost assumptions

Limitations

- Tax treatment modeled as simplified flat rates; real-world rules are more complex
- FX rates based on official benchmarks; retail spreads may vary
- Analysis assumes continuous holding (no behavioral effects)
- Results are sensitive to the selected time period (2019–2026)